

Howmet Aerospace

The World Needs Plenty of Turbine Blades; Reit OW

SpaceX's plans to cast its own gas turbine blades in Bastrop, TX have gotten a lot of air time this week, mainly regarding the potential impact on incumbent IGT players, given SpaceX's track record of disruption. Our initial inclination was that SpaceX's actions are unlikely to disrupt the durable demand for the part of this complex that we cover, which is HWM, the leading blade manufacturer. Speaking with both companies reinforced our view. SpaceX's efforts reflect its assessment that shortages of power, along with chips, can threaten the pace of its AI compute buildout, and it is precisely because it expects supply to remain tight that it is developing alternative means to source power *for itself*. Incumbent players, then, including HWM, should continue to see strong IGT demand tied to the data center buildout and other drivers. As a result, we see the HWM selloff, which has reversed somewhat, as unwarranted, and remain OW.

- SpaceX is trying to help itself remove a potentially enduring constraint.**
 SpaceX has highlighted microchips and power as the leading constraints on building out AI compute, and as a dedicated practitioner of vertical integration, it is not surprising to see the company acting to remove those constraints. Terafab is the proposed solution for chips, and it was a frequent topic of discussion during the IPO roadshow. The company's efforts on power have been less prominent, but have come up in recent months due to job listings it has posted as well as Elon Musk's purchase of APR Energy, which operates a fleet of mobile gas and diesel turbines. The recent confirmation that SpaceX plans to cast turbine blades and vanes is the latest news and also the trigger for stock moves among IGT players earlier this week. We believe SpaceX expects power requirements to remain elevated and is vertically integrating some of its power requirements precisely for this reason. We cannot say that SpaceX will never provide power or IGT equipment to third parties, but we do not believe it intends to do so and given its ambitions there should be plenty to do internally. The existing IGT industry, which is booked out for years, will still need to support the power requirements of everyone else . . . as well as some of SpaceX's, most likely. Looking at chips, for example, SpaceX's plans for Terafab do not mean it will stop buying from other chip makers or that those chipmakers will be lacking in demand. All that said, our takeaway from all this is that SpaceX sees enduring power needs across the market and wants to avoid being short, rather than that SpaceX intends to disrupt the power market.
- Meanwhile, HWM remains exceptionally well-positioned in gas turbines.**
 As a leading provider of hot section blades for IGT, HWM has faced some concern about the impact of SpaceX's plans; nevertheless, we still see this outlook as quite promising. In recent years, Howmet has increasingly leaned into IGT as an end market through investment in its Engine Products segment and these capex plans continue to expand. We believe, however, that Howmet has remained judicious in its approach, backing its investments with supply agreements with seven major IGT customers, which we assume are 1) GE Vernova, 2) Siemens, 3) Mitsubishi Heavy, 4) Caterpillar, 5) Ansaldo, 6) Baker Hughes, and 7) Kawasaki Heavy. Last quarter, HWM also noted that some of its customers had been looking to expand their orders further, and the backlogs for several of these OEMs extend to the end of the decade or into the 2030s. In

Overweight

HWM, HWM US
Price (01 Sep 26):\$254.89
Price Target (Dec-27):\$350.00

Aerospace & Defense

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.86	1.22A	
Q2	0.91	1.33A	
Q3	0.95	1.38	
Q4	1.05	1.47	
FY	3.78	5.40	6.50

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	92	92	91	83	73
Growth	41	50	60	22	60
Momentum	27	13	16	30	29
Quality	16	11	26	69	67
Low Vol	21	29	40	18	77
ESGQ	10	18	18	19	83

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	24.3%	-9.7%	-0.2%	46.4%
Rel	12.8%	-11.6%	-0.7%	27.5%

Company Data

Shares O/S (mn)	402
52-week range (\$)	310.00-170.81
Market cap (\$ mn)	102,465.80
Exchange rate	1.00
Free float (%)	99.0%
3M ADV (mn)	2.71
3M ADV (\$ mn)	736.3
Volatility (90 Day)	36
Index	S&P 500
BBG ANR (Buy Hold Sell)	21 4 0

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	8,252	10,149	11,577	13,011
Adj. EBITDA	2,416	3,301	3,918	4,525
Adj. EBIT	2,133	2,971	3,499	4,085
Adj. net income	1,530	2,160	2,579	3,042
Adj. EPS	3.78	5.40	6.50	7.75
BBG EPS	3.70	5.30	6.43	7.60
Cashflow from operations	1,884	2,461	2,950	3,413
FCFF	1,431	1,940	2,371	2,827
Margins and Growth				
Revenue Growth Y/Y (%)	11.1%	23.0%	14.1%	12.4%
EBITDA margin	29.3%	32.5%	33.8%	34.8%
EBITDA Growth Y/Y (%)	26.2%	36.6%	18.7%	15.5%
EBIT margin	25.8%	29.3%	30.2%	31.4%
Net margin	18.5%	21.3%	22.3%	23.4%
Adj. EPS growth	40.5%	42.9%	20.4%	19.1%
Ratios				
Adj. tax rate	19.8%	21.1%	21.0%	21.0%
Interest cover	16.0	17.7	21.2	24.5
Net debt/Equity	-	-	-	-
Net debt/EBITDA	0.9	1.0	0.8	0.5
ROCE	53.8%	62.1%	61.4%	71.7%
ROE	-	-	-	-
Valuation				
FCFF yield	1.4%	1.9%	2.3%	2.8%
Dividend yield	-	-	-	-
EV/Revenue	14.0	11.5	10.0	8.9
EV/EBITDA	47.8	35.3	29.7	25.6
Adj. P/E	67.4	47.2	39.2	32.9

Summary Investment Thesis and Valuation

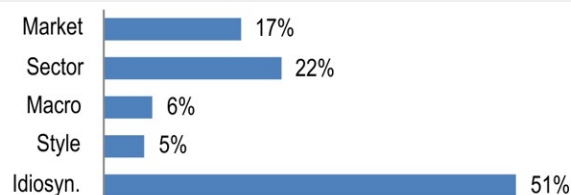
Investment Thesis

We rate Howmet OW. While the risk-reward balance for Howmet has grown less compelling, we believe: 1) we have consistently underestimated both its earnings and valuation, 2) there is still a very good story here for 2026-27, with capacity additions in Engines and further growth and margin expansion in Fasteners and Structures as widebody production ramps, and 3) mgmt has performed quite well on execution, capital deployment, and communication with the market, and we expect this to continue.

Valuation

Our Dec-27 PT is \$350, which is a 45x multiple on our 2028 adj EPS estimate of \$7.75. With this multiple, we believe valuation is the biggest stock risk, but with years of demand growth, a track record of strong execution, and cash to deploy, we believe HWM deserves a premium to even the elevated multiples at which the market is valuing most Aero stocks.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.33	0.34
Sect: Industrials	0.56	0.50
Ind: Capital Goods	0.62	0.58
Macro:		
US 10yr yield	-0.43	-0.35
US 10yr Breakeven	-0.41	-0.33
Credit Spread	0.19	0.26
Quant Styles:		
Momentum	0.30	0.33
Size	0.20	0.20
DivYld	-0.06	-0.14

this environment, Howmet should continue to encounter opportunities to generate meaningful value through casting IGT blades, which are notoriously difficult to produce at scale. SpaceX may eventually emerge as a producer for itself, but we expect demand to continue to exceed supply and we do not view IGT blades as commodities, where high prices will drive rapid market saturation. Meanwhile, we expect new capacity to continue driving growth at HWM. Mgmt expects to double IGT sales to ~\$2b over 3-5 years and our timetable for this continues moving to the left within that range.

Investment Thesis, Valuation and Risks

Howmet Aerospace (*Overweight; Price Target: \$350.00*)

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Risks to Rating and Price Target

Downside risks include a slower-than-anticipated ramp in 737 MAX production and weaker-than-expected demand for Forged Wheels.

Howmet Aerospace: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	7,430	8,252	10,149	11,577	13,011	Revenue	2,313A	2,547A	2,591	2,698	
Operating expenses	-	-	-	-	-	Operating expenses	-	-	-	-	
Adj. EBITDA	1,914	2,416	3,301	3,918	4,525	Adj. EBITDA	740A	817A	842	902	
D&A	(278)	(283)	(330)	(419)	(440)	D&A	(74)A	(84)A	(85)	(87)	
Adj. EBIT	1,636	2,133	2,971	3,499	4,085	Adj. EBIT	666A	733A	756	816	
Net Interest	(182)	(151)	(186)	(185)	(185)	Net Interest	(43)A	(51)A	(46)	(46)	
Adj. PBT	1,393	1,942	2,743	3,265	3,851	Adj. PBT	621A	671A	697	754	
Tax	(228)	(384)	(578)	(686)	(809)	Tax	(127)A	(137)A	(146)	(167)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	1,103	1,530	2,160	2,579	3,042	Adj. Net Income	494A	534A	551	587	
Net Income - GAAP	1,155	1,562	2,166	2,579	3,042	Net Income - GAAP	494A	534A	551	587	
Reported EPS	2.82	3.86	5.42	6.50	7.75	Reported EPS	1.22A	1.33A	1.38	1.47	
Adj. EPS	2.69	3.78	5.40	6.50	7.75	Adj. EPS	1.22A	1.33A	1.38	1.47	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	410	405	400	397	393	Shares outstanding	403A	402A	399	399	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	570	799	1,169	1,525	2,091	EBITDA margin	25.8%	29.3%	32.5%	33.8%	34.8%
Accounts receivable	-	-	-	-	-	EBIT margin	22.0%	25.8%	29.3%	30.2%	31.4%
Inventories	-	-	-	-	-	Net profit margin	14.8%	18.5%	21.3%	22.3%	23.4%
Other current assets	0	0	0	0	0	ROE	-	-	-	-	-
Current assets	570	799	1,169	1,525	2,091	ROA	31.4%	48.1%	57.2%	57.3%	67.6%
PP&E	-	-	-	-	-	ROCE	39.0%	53.8%	62.1%	61.4%	71.7%
LT investments	-	-	-	-	-	Net debt/equity	-	-	-	-	-
Other non current assets	2,745	2,251	3,332	2,976	2,410	P/E (x)	94.7	67.4	47.2	39.2	32.9
Total assets	3,315	3,050	4,501	4,501	4,501	P/BV (x)	-	-	-	-	-
Short term borrowings	-	-	-	-	-	EV/EBITDA (x)	60.6	47.8	35.3	29.7	25.6
Payables	-	-	-	-	-	Dividend Yield	-	-	-	-	-
Other short term liabilities	-	-	-	-	-	Sales/Assets (x)	2.1	2.6	2.7	2.6	2.9
Current liabilities	-	-	-	-	-	Interest cover (x)	10.5	16.0	17.7	21.2	24.5
Long-term debt	3,315	3,050	4,501	4,501	4,501	Operating leverage	272.0%	274.6%	170.9%	126.5%	135.1%
Other long term liabilities	0	0	0	0	0	Revenue y/y Growth	11.9%	11.1%	23.0%	14.1%	12.4%
Total liabilities	3,315	3,050	4,501	4,501	4,501	EBITDA y/y Growth	26.9%	26.2%	36.6%	18.7%	15.5%
Shareholders' equity	-	-	-	-	-	Tax rate	16.4%	19.8%	21.1%	21.0%	21.0%
Minority interests	-	-	-	-	-	Adj. Net Income y/y Growth	44.0%	38.7%	41.2%	19.4%	17.9%
Total liabilities & equity	3,315	3,050	4,501	4,501	4,501	EPS y/y Growth	46.1%	40.5%	42.9%	20.4%	19.1%
BVPS	-	-	-	-	-	DPS y/y Growth	-	-	-	-	-
y/y Growth	-	-	-	-	-	Free cashflow / share	2.38	3.54	4.85	5.98	7.20
Net debt/(cash)	2,745	2,251	3,332	2,976	2,410	P/FCF (x)	106.9	72.1	52.5	42.6	35.4
Cash flow from operating activities	1,298	1,884	2,461	2,950	3,413						
o/w Depreciation & amortization	278	283	330	419	440						
o/w Changes in working capital	(246)	(71)	(165)	0	0						
Cash flow from investing activities	(321)	(453)	(521)	(579)	(586)						
o/w Capital expenditure	(321)	(453)	(521)	(579)	(586)						
as % of sales	4.3%	5.5%	5.1%	5.0%	4.5%						
Cash flow from financing activities	(1,474)	(1,160)	127	(2,014)	(2,260)						
o/w Dividends paid	(109)	(181)	(225)	(516)	(760)						
o/w Share issue/(buyback)	(500)	(698)	(1,100)	(1,499)	(1,500)						
o/w Net debt issued/(repaid)	(865)	(281)	1,452	0	0						
Net change in cash	(497)	271	2,067	357	567						
Adj. Free cash flow to firm	977	1,431	1,940	2,371	2,827						
y/y Growth	43.3%	46.5%	35.6%	22.2%	19.2%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Howmet Aerospace (HWM, HWM US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 18, 2017. All share prices are as of market close on the previous business day.

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